Pre-Class Assignment: Stiglitz & Ventura-Bolet Essay

"Information in the Age of AI"

ECON 470 — Microeconomics of Artificial Intelligence

Spring 2026

Reading: Joseph Stiglitz and Màxim Ventura-Bolet, "Information in the Age of AI: Challenges and Solutions," *The Digitalist Papers*, Vol. 2 (2024). Available at digitalistpapers.com/vol2/stiglitzventurabolet.

Instructions: Answer each question in 1–3 sentences. These are reading-check questions — they should be quick if you read the essay. You must submit this assignment in person. The assignment must be handwritten. No photocopies will be accepted.

Why we do this: A team of your classmates is presenting this essay and leading a 10-minute discussion afterward. These questions ensure you arrive ready to participate.

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1. Stiglitz and Ventura-Bolet identify three interrelated problems in the information ecosystem. What are they?
2. The authors argue that misinformation is cheaper to produce than high-quality information. Why does this create a market failure?
3. The essay references the Grossman-Stiglitz paradox from financial markets. What is the analogous problem they see in AI-mediated information?
4. The authors propose repealing Section 230 of the Communications Decency Act. What is their reasoning?
5. Pick one claim or proposal from the essay that you found either compelling or unconvincing. State it in one sentence, then say why you reacted the way you did.